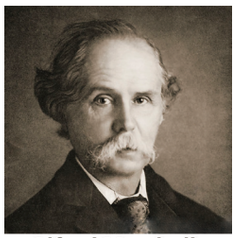
Smith favours the introduction of "division of labour" to increase the quantum of output. Severe competition in factories and society helps in bettering the product. Supply force is very active and a commodity is made available to the consumers at the lowest price.

The publication of Adam Smith's "The Wealth of Nations" in 1776, has been described as "the effective birth of economics as a separate discipline".

Criticism

For Smith, Economics consists of 'wealth-getting' activities and 'wealth-spending' activities. An undue emphasis is given to material wealth. Wealth is treated to be an end in itself. This view leads him to ignore human welfare as an essential part of Economics. Smith gives his definition when religious and spiritual values are held high. *Ruskin* and *Carlyle* regards Economics as a '*dismal science*', as it teaches selfishness which is against ethics.

1.3.2 Welfare Definition: Alfred Marshall
(The Neo- classical era)


Alfred Marshall

Alfred Marshall (1842-1924) in his book "*Principles of Economics*" (1890) defines Economics thus: "*Political Economy" or Economics is a study of mankind in the ordinary business of life; it examines that part of individual and social action which is most closely connected with the attainment and with the use of the material requisites of well-being. Thus, it is on one side a study of wealth; and on the other, and more important side, a part of the study of man.*"

The important features of Marshall's definition are:

a. Economics does not treat wealth as the be-all and end-all of economic activities. Man promotes primarily welfare and not wealth.

b. The science of Economics contains the concerns of ordinary people who are moved by love and not merely guided or directed by the desire to get maximum monetary benefit.

c. Economics is a social science. It studies people in the society who influence one another.

Criticism

a. Marshall regards only material things. He does not consider immaterial things, such as the services of a doctor, a teacher and so on. They also promote people's welfare.

b. In the theory of wages, Marshall ignores the amount of money that goes as reward for the services of 'immaterial' services.

c. Marshall's definition is based on the concept of welfare. But it is not clearly defined. Welfare varies from person to person, country to country and one period to another. Marshall clearly distinguishes between those things that are capable of promoting welfare of people and those things that are not. Things like liquor that are not capable of promoting welfare but command

Chapter-01.indd 3 1/2/2023 11:39:56 AM